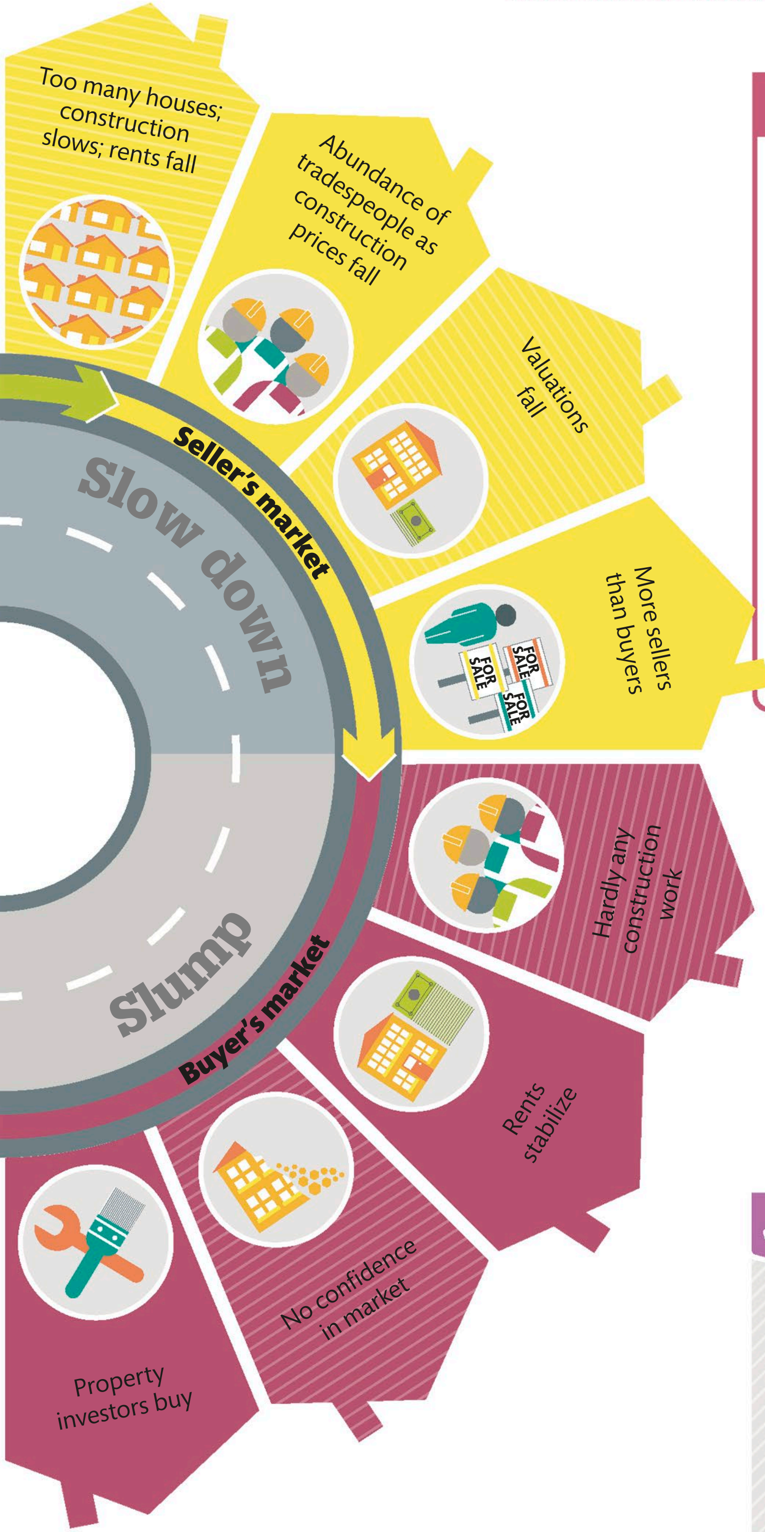
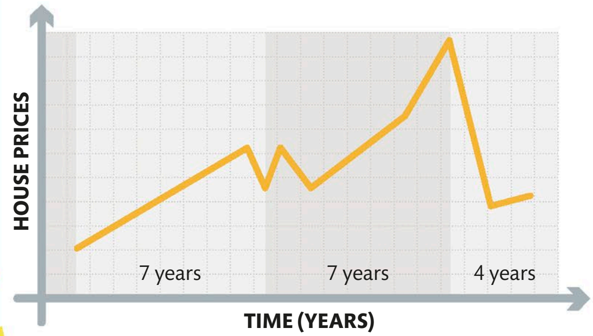


THE 18-YEAR REAL-ESTATE CYCLE

The idea that ups and downs in the real-estate market run in an 18-year cycle is based on US studies into the property market over the last two centuries by economic forecaster Phillip J Anderson. He demonstrated that land sales and property construction peak on average every 18 years – 14 years up and four years down.



8.75% annual rise in UK house prices over 47 years between 1968 and 2015

NEED TO KNOW

- **Appreciation** Rise in the value of a property over time.
- **Depreciation** Fall in the value of a property over time.
- **Capital gain** The increase in value of a property (or other asset) from its purchase price; this can be short term (under one year) or long term.
- **BRR** Buying, Refurbishing, and Refinancing strategy.